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1 Data description

This paper uses the matched employer-employee data from South Africa administrative tax records between 2010 and 2022. The data contains information collected from job certificates (IRP5 forms) issued to individuals working in firms registered for PAYE. It contains information on remuneration, deductions, periods worked and geographical location. Industry information of the firm is extracted from the corporate income tax returns, which contain detailed balance sheet information on sales, cost of sales and profits, collected via the IT14/ITR14 tax forms.

The dataset covers all firms in South Africa that are registered with SARS and submit corporate income tax returns. This includes firms across all sectors of the formal economy, spanning small, medium, and large enterprises that are legally obliged to report taxes. Informal businesses that do not submit IT14/ITR14 forms are not included, which means that informal-sector firms and micro-enterprises operating entirely outside the tax system are excluded. From the employee perspective, the data capture all PAYE-registered employers that issue IRP5 tax certificates to workers earning above the reporting threshold. Firms and workers operating outside the PAYE and corporate income tax systems, such as informal businesses and microenterprises, are not included.

Our empirical analysis restricts the sample to firms operating in the agricultural sector, as identified using industry classifications reported in the corporate income tax returns. This restriction is applied to the universe of SARS-registered firms that submit IT14/ITR14 returns and can be linked to PAYE-registered employment through IRP5 certificates. The resulting sample therefore consists of formal agricultural enterprises with at least one PAYE-reported employee during the period of analysis. Informal agricultural producers, subsistence farms, and micro-enterprises that operate outside the corporate income tax and PAYE systems are not captured, nor are agricultural workers employed informally or on a casual basis without IRP5 reporting.